

◆ **Section 3.3.1 — Business Objectives and Strategy (12 Qs)**

What is a mission statement?

What are corporate aims?

What is a corporate objective?

How are corporate objectives linked to a mission statement?

What is meant by “critical appraisal” of a mission statement?

What does Ansoff’s Matrix show?

Name the four strategies in Ansoff’s Matrix.

What does Porter’s Strategic Matrix focus on?

What is portfolio analysis used for?

Give one example of a strategic decision.

Give one example of a tactical decision.

How can strategic decisions affect a firm’s human, physical or financial resources?

◆ **Section 3.3.1 — SWOT & External Influences (10 Qs)**

What does SWOT stand for?

Which two parts of SWOT are internal?

Which two parts of SWOT are external?

Give one example of a business strength.

What does PESTLE stand for?

Give one example of a political factor in PESTLE.

Give one example of a technological factor in PESTLE.

What is meant by the “competitive environment”?

What is the purpose of Porter’s Five Forces model?

Name one of Porter’s Five Forces.

◆ **Section 3.3.2 — Business Growth (12 Qs)**

Give one objective of business growth.

What are economies of scale?

What is the difference between internal and external economies of scale?

Give one reason a business might want more market power.

What is meant by increased brand recognition?

What is organic growth?

Give one method of organic growth.

What is inorganic growth?

What is a merger?

What is a takeover?

What is horizontal integration?
What is vertical integration?

◆ **Section 3.3.2 — Growth Methods & Problems (8 Qs)**

Give one reason for a merger or takeover.
What is a conglomerate?
Give one financial risk of inorganic growth.
Give one financial reward of inorganic growth.
What are diseconomies of scale?
How can growth cause communication problems?
What is overtrading?
Give one way a firm can avoid problems caused by rapid growth.

◆ **Section 3.3.3 — Decision-Making Techniques: Forecasting & Investment (10 Qs)**

What is quantitative sales forecasting?
What is a moving average used for?
What is extrapolation?
Give one limitation of quantitative sales forecasting.
What is payback period?
What does ARR stand for?
What does NPV stand for?
What does a positive NPV suggest about a project?
Give one limitation of payback or ARR.
Give one limitation of NPV.

◆ **Section 3.3.3 — Decision Trees, CPA & Contribution (10 Qs)**

What is a decision tree?
What is an expected value?
Give one limitation of decision trees.
What does CPA stand for?
What is the critical path?
What is float in a network diagram?
Give one benefit of using critical path analysis.

Give one limitation of critical path analysis.
What is contribution per unit?
How is contribution used in decision making?

◆ **Section 3.3.4 — Influences on Business Decisions (Corporate Culture) (8 Qs)**

What is corporate culture?
What is a strong culture?
What is a weak culture?
Name one type of culture in Handy's model.
Give one way corporate culture is formed.
Give one example of a visible sign of culture.
Why can it be difficult to change an established culture?
Give one consequence of a poor corporate culture.

◆ **Section 3.3.4 — Stakeholders, Shareholders & Ethics (10 Qs)**

Who are internal stakeholders?
Who are external stakeholders?
Give one objective of a stakeholder group.
What is the shareholder model?
What is the stakeholder model?
Give one potential conflict between stakeholder and shareholder objectives.
What is meant by "business ethics"?
Give one ethical issue linked to strategic decisions.
What is CSR?
Give one example of CSR in practice.

◆ **Section 3.3.5 — Assessing Competitiveness: Finance & Ratios (12 Qs)**

What is a statement of comprehensive income also called?
What is shown on a statement of financial position (balance sheet)?
Give one item you would find on an income statement.
Give one item you would find on a balance sheet.

Name one stakeholder interested in profit figures.
Name one stakeholder interested in assets and liabilities.
What is gross profit margin?
What is the current ratio?
What is the acid test ratio?
What is gearing?
What does ROCE measure?
Give one limitation of ratio analysis.

◆ **Section 3.3.5 — Human Resources & Competitiveness (8 Qs)**

What is labour productivity?
What is labour turnover?
What is labour retention?
What is absenteeism?
Give one way a business can increase labour productivity.
Give one way a business can improve retention.
Give one financial reward used to motivate staff.
Give one non-financial strategy to reduce absenteeism.

◆ **Section 3.3.6 — Managing Change & Contingency Planning (10 Qs)**

Give one key factor that affects how change is managed.
How can organisational culture affect change?
How can the size of an organisation affect change?
Why does the speed of change matter?
What is resistance to change?
Give one way managers can reduce resistance to change.
What is transformational leadership?
What is contingency planning?
Give one key risk a business might plan for.
What is business continuity planning?